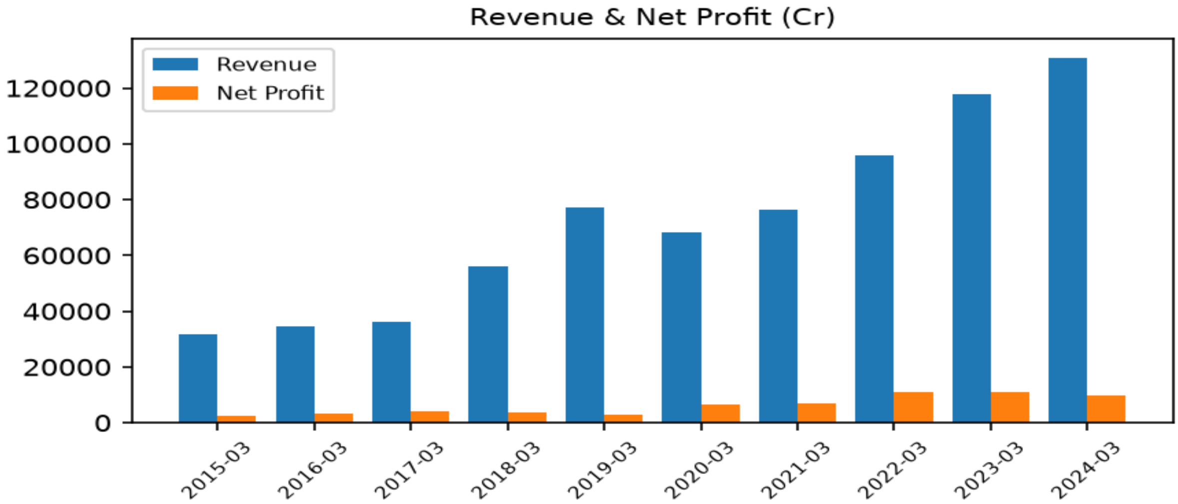
Grasim Industries Ltd (GRASIM)

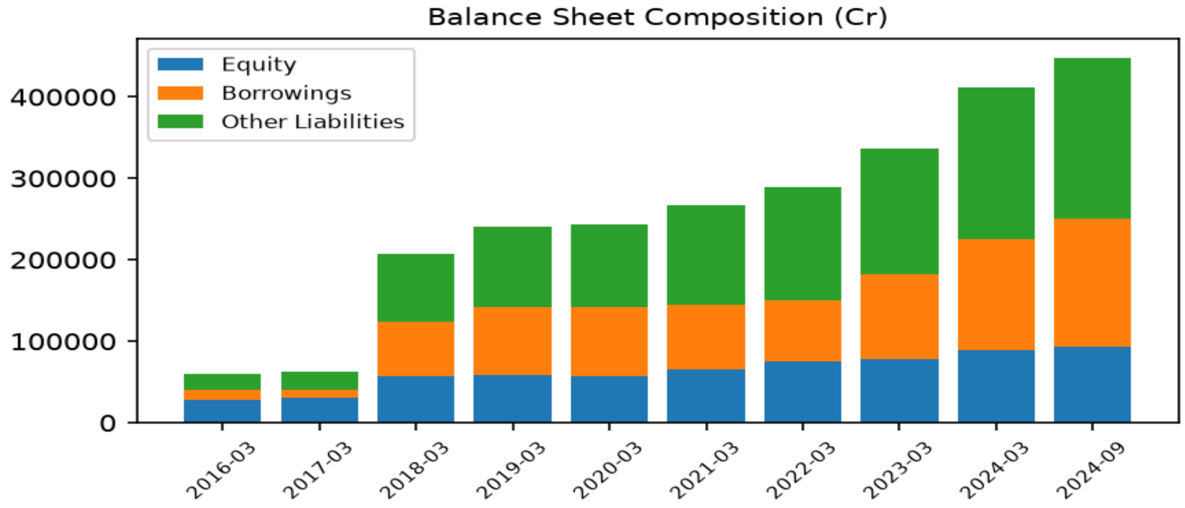
ROE 11.2%	**ROCE** 9.8%	**Net Profit Margin** 7.6%
D/E 1.5	**Revenue CAGR 5yr** 11.2%	**Free Cash Flow (Cr)** -33833.0

Revenue & Net Profit (10yr)

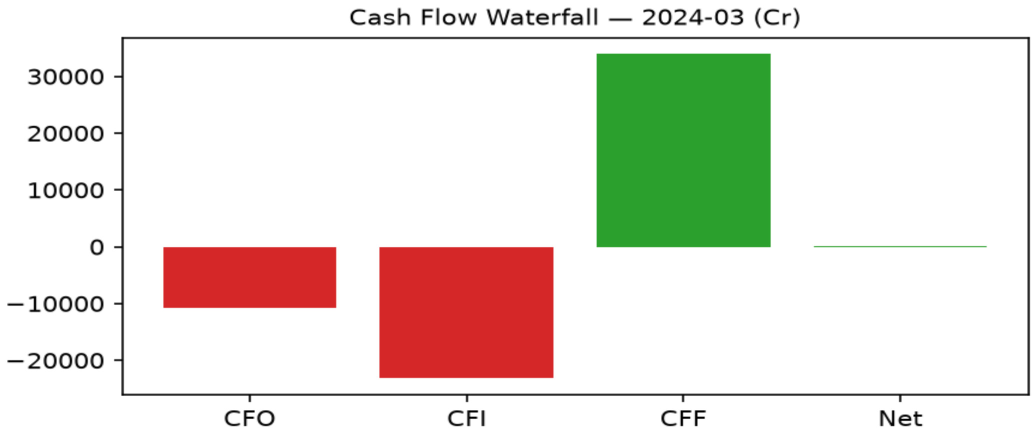


ROE & ROCE (10yr)

Balance Sheet Composition



Cash Flow (Latest Year)



Pros

✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
✗ Earnings per share declining for 3 consecutive years reflects deteriorating profitability
✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation: Growth Funded by Debt